bestoasis

Recycling with the Best

Weekly Ship Recycling Report

12 October - 18 October 2024

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Highlights of the week

This week, the ship recycling industry across key regions remained relatively stable, with most markets seeing little change from the previous week. In India, the market continues to follow a familiar pattern of brief recovery phases followed by downturns, reflecting ongoing volatility. The current festival season and low demand for steel have further influenced the market's stagnant performance. Similarly, in Bangladesh, the market remained soft, showing no significant improvement as sluggish activity persisted. The overall lack of momentum in the market points to a prolonged period of subdued performance. In Pakistan, the market remained unchanged, with local steel prices continuing to decline and scrap prices weakening further. Similarly, in Türkiye, while the market remained stable, import prices saw a decline, adding to the pressure on the local industry. Overall, the global ship recycling sector continues to face a challenging environment marked by weak demand and falling prices.

The escalating conflicts in the Middle East could have a significant impact on the global economy, potentially disrupting oil and natural gas markets. Rising tensions may influence oil prices and create uncertainties in global energy supply chains, with possible broader implications for various sectors. The Middle East, while less dominant in the global gas market, still includes major producers like Qatar and Iran, whose outputs could be compromised by regional instability. Saudi Arabia and the UAE have developed alternative oil shipment routes to reduce dependency on more vulnerable pathways, but these alternatives also face risks of disruption if conflicts intensify.

Exchange Rates:

USD / INR ₹

This Week	: 84.07
Previous Week	: 84.08
Gained	: 0.01

USD / BDT ৳

This Week	: 119.64
Previous Week	: 119.58
Lost	: 0.06

USD / PKR Rs

This Week	: 278.06
Previous Week	: 277.75
Lost	: 0.31

USD / TRY ₺

This Week	: 34.24
Previous Week	: 34.29
Gained	: 0.05

India

The market faces continued volatility amid festival season and low demand.

- The Indian ship recycling market remains largely unchanged from the previous week, maintaining a similar pattern.
- We have observed a recurring trend where the market experiences brief hiccups of recovery, followed by a downturn, indicating ongoing volatility and uncertainty. The ongoing festival season is also contributing to the current market behavior.
- Additionally, the demand for steel remains low, further adding to the uncertainty in the market.
- India's steel ministry is considering a temporary "safeguard duty" to curb rising steel imports from China. The measure, aimed at protecting domestic producers from cheaper Chinese competition, is still under review, with steps to implement it expected soon.

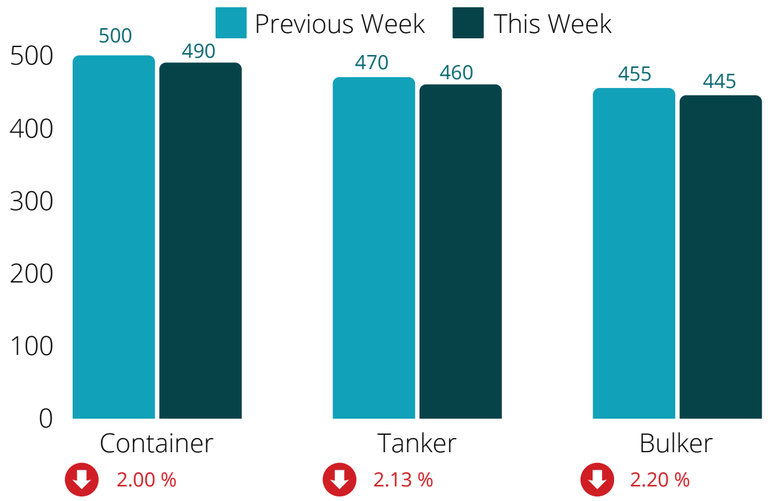
Beaching Dates

18 October to 23 October 2024

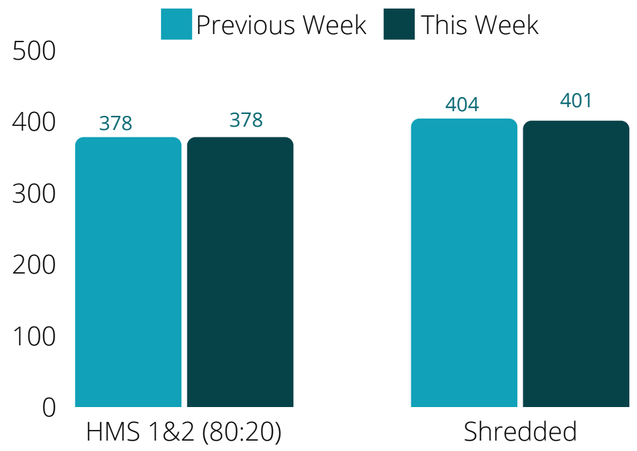
31 October to 07 November 2024

14 November to 21 November 2024

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Bangladesh

Market remains stagnant amid prolonged steel sector decline and ongoing political instability.

- The market has remained unchanged for another week, continuing its trend of softness and sluggish activity for quite some time. The market shows no significant signs of improvement, reflecting a prolonged period of subdued performance.

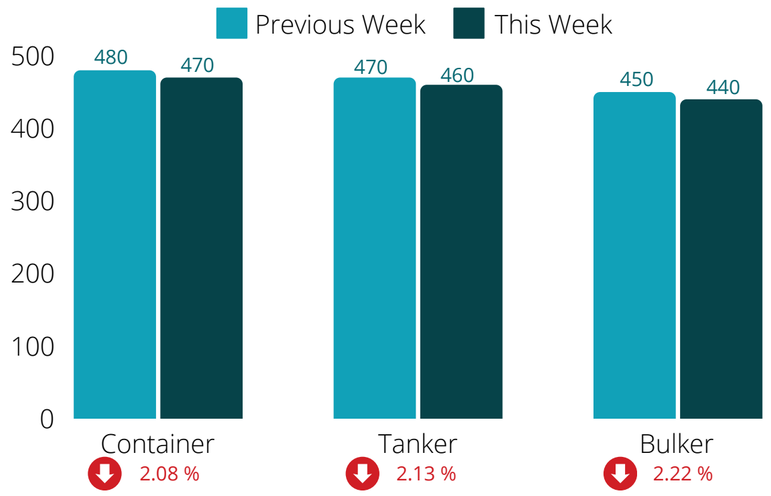
- Steel production in Bangladesh dropped significantly in September due to falling demand and price reductions. Political instability, protests, and curfews have severely impacted the steel sector over the past three months.

- Public construction, accounting for 67% of local steel demand, has slowed since July and halted after the August political changeover. Individual construction projects in rural and semi-urban areas are stalled due to disrupted approval processes. Steelmakers' monthly sales have dropped from over 500,000 tonnes to 150,000 tonnes since July.

Beaching Dates

18 October to 19 October
30 October to 02 November
14 November to 17 November

Price for Recycling Ships in Bangladesh



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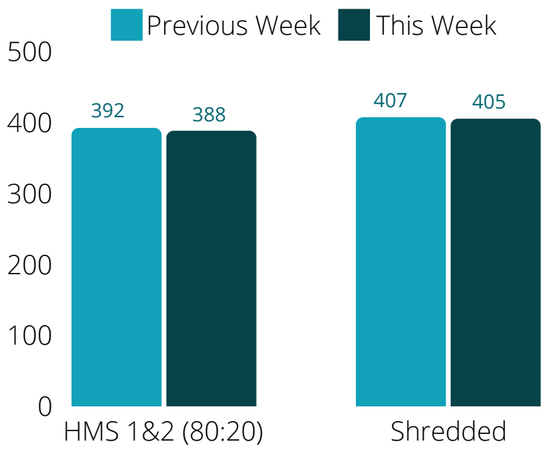


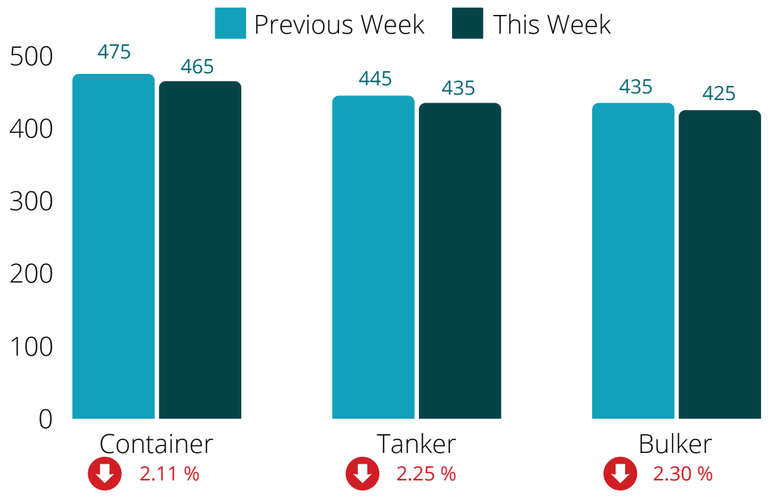
Pakistan

Market remains sluggish amid weak steel demand and falling scrap prices.

- The Pakistan ship recycling market remains largely unchanged, with recyclers continuing to seek tonnage at the 450 level. Local steel prices continue to face downward pressure, while the price of local scrap has also weakened. This combination of soft demand and declining material prices is contributing to the ongoing subdued activity in the market.

- The Safe and Environmentally Sound Recycling of Ships and Decent Work (SENSREC-DW) Project, a joint effort by the International Maritime Organization (IMO) and International Labor Organization (ILO), aims to improve safety, environmental practices, and labor standards in ship recycling. The first workshop was held on 16 September after a visit from IMO Secretary-General Arsenio Dominguez.

Price for Recycling Ships in Pakistan



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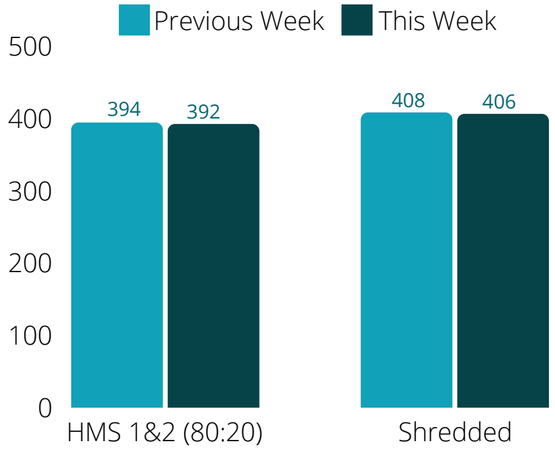


Beaching Dates

Throughout the month

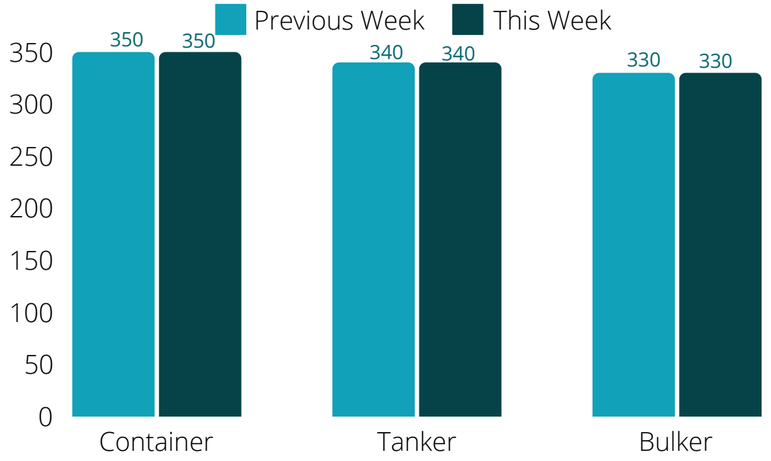
Türkiye

Market remains unchanged from last week, but import prices experience a significant drop.

- The market remains unchanged from the previous week, but import prices have dropped by approximately 10 USD.

- Steel demand in Türkiye is expected to decline by 1.4% in 2025, reaching 35.5 million tons after a 17.2% increase in 2023. Globally, demand is projected to decrease by 0.9% in 2024 to 1.75 billion tons, with a recovery of 1.2% anticipated in 2025. Challenges such as reduced purchasing power, monetary tightening, and geopolitical uncertainties have contributed to a challenging outlook for 2024.

Price for Recycling Ships in Türkiye



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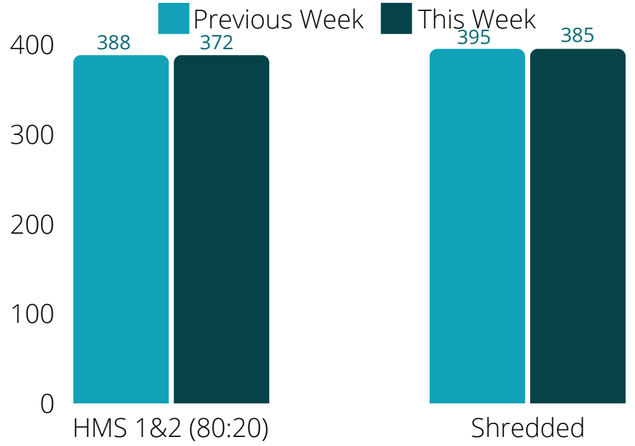
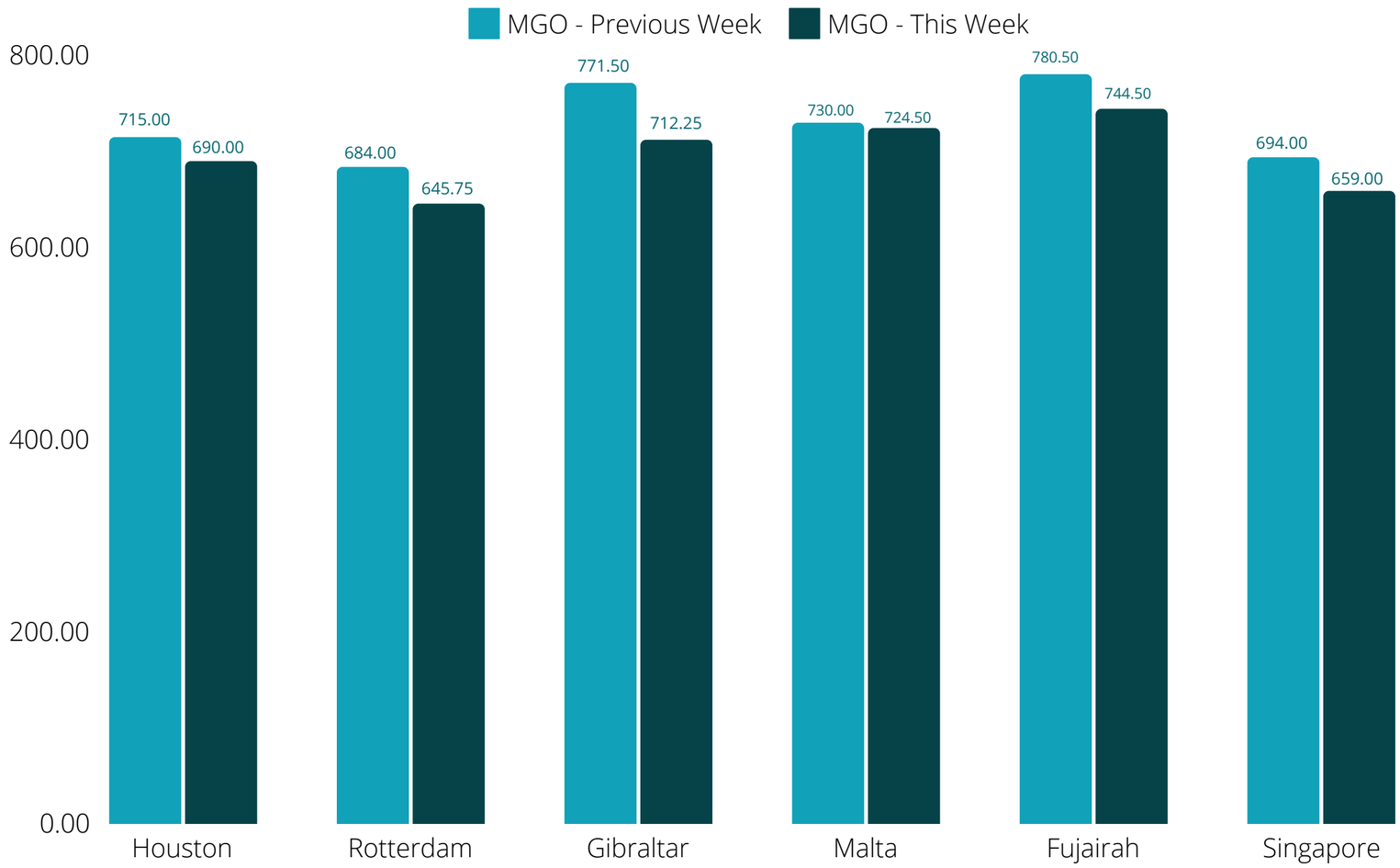


Beaching Dates

Throughout the month

Bunker Prices at Port



Brent Crude

This Week	: 72.99
Previous Week	: 78.72
Movement	: - 5.73

WTI Crude

This Week	: 69.54
Previous Week	: 75.36
Movement	: - 5.82

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
MILA	GENERAL CARGO SHIP	8865987	1972	CZECHOSLOVAKIA	1,581	DELIVERED	ALIAGA, TURKIYE	UNDISCLOSED
GRAND MBA	GENERAL CARGO SHIP	8131142	1983	DENMARK	154	DELIVERED	ALIAGA, TURKIYE	UNDISCLOSED
GREEN MALOY	REEFER	8804579	1990	NORWAY	2,975	DELIVERED	ALANG, INDIA	480
GREEN MAVERIC	REEFER	9043055	1993	NETHERLANDS	3,056	DELIVERED	ALIAGA, TURKIYE	UNDISCLOSED
SEAGRAND	GENERAL CARGO SHIP	8520202	1986	JAPAN	3,320	DELIVERED	ALANG, INDIA	UNDISCLOSED
MSC MALIN	CONTAINER	8201636	1982	EAST GEMANY	10,655	DELIVERED	ALIAGA, TURKIYE	UNDISCLOSED
ALI A	BULKER	7915307	1980	JAPAN	2,500	DELIVERED	ALANG, INDIA	UNDISCLOSED
PRINCESS LOTUS	BULKER	9120059	1996	JAPAN	9,214	AS-IS	SHANWEI, CHINA	435

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